MGT 663 – Fall 2020

Company Sector and Team Report

Table of Contents

Introduction and Company Overview ... *4*

History ... **4**

Products, Services, and Purpose ... **4**

Current Status and Indicators of Financial Success ... **5**

Industry Analysis ... *6*

Industry Definition ... **6**

Industry History ... **6**

Industry Growth and Current Status ... **7**

Overview of key technologies or technological developments ... **7**

Five Forces Analysis ... **9**

Industry Trends and Drivers ... **10**

Recent Industry Developments ... **10**

Key Success Factors ... **11**

Strategic Focus ... 11
People ... 12
Operations ... 12
Marketing ... 13
Finances ... 13

Strategic Analysis ... *14*

Analysis of major competitors ... **15**

Arc'teryx ... 16
The North Face ... 17
Marmot ... 17
REI ... 17
L.L. Bean ... 18

Analysis of consumers ... **18**

Impact Analysis ... *20*

The Evolution of Patagonia's Environmental and Social Responsibility ... **20**

Environmental and Social Consciousness in the Supply Chain ... **22**

Political Responsibility ... **23**

B Corp and Benefit Corporation Status ... **24**

Sustainability Goals......25
Systematic Change......25
Financial Analysis and Success Indicators......27
Starting Employee Pay......29
Benefit Corporation Financials......29
Analysis, Recommendations, and Conclusion......31
References......32

Introduction and Company Overview

History

Patagonia, Inc. is an innovator and environmental steward in the outdoor apparel industry. Their original mission statement showcased their foundational core values to: “Build the best product, cause no unnecessary harm, and use business to inspire and implement solutions to the environmental crisis” (Patagonia.com). As the business now approaches fifty years of operation, it remains focused on the quality of its products and the evolution of environmental initiatives. Patagonia is also attempting to redefine the roles that consumerism and corporate sustainability play in society. Ambitious campaigns in the realms of marketing and political activism have created a culture of impassioned shoppers and outdoor enthusiasts that continues to gain momentum.

The company began in Ventura, California when Yvon Chouinard, the founder, was an unemployed and passionate “dirtbag” climber. In 1958, the autodidact ventured to a junkyard to buy a rudimentary anvil, some tongs, and a hammer. Chouinard began crafting his own pitons while seeking out first ascents throughout the west coast of America (Fernandez, 2020). The reputation of the gear soon spread throughout the Yosemite Valley climbing community. As demand increased, Chouinard decided to move the business from the back of his truck to a more advanced operation in his backyard (Wang, 2010). Chouinard Equipment became the largest supplier of climbing gear in the United States in the 1970s and would eventually be sold off to employees, forming Black Diamond Equipment in 1989 (Black Diamond Equipment, Ltd., n.d.). In 1973 Patagonia was incorporated as Great Pacific Iron Works, emerging as a designer and marketer of outdoor clothing and gear.

Products, Services, and Purpose

Patagonia is still privately held with Chouinard as the sole owner. The company currently employs approximately 2,100 people worldwide. Amongst these employees, 91% report it as a great place to work, as opposed to 59% in a typical US-based company (Greatplacetowork, 2020). Perks include on-site childcare, paid parental leave, free yoga, hiking and surf breaks, and a two-month paid sabbatical for employees to work with environmental groups of their choosing (Inguard, 2016). Many of these principles and beliefs are elaborated upon in Chouinard’s book, *Let My People Go Surfing*.

Today, Patagonia’s reach spans from casual, outdoor clothing to technical equipment used in hiking, skiing, surfing, and climbing. Unconventional advertising campaigns also help spread the ethos of Patagonia. For instance, in 2011, Patagonia started the Common Threads initiative urging its customers to only buy what they needed and boldly ran an ad reading: “Don’t buy this jacket." (Fernandez, 2020). It also focuses heavily on recycling and repairing clothing as part of its Worn Wear program to reduce the amount of trash that ends up in landfills. Furthermore, Patagonia has used 100% organic cotton in its clothing since 1996 (Patagonia). One recent message asked: "Can This T-Shirt Help Stop Climate Change? No. But Farming Could." In 2011, the company ventured into the sustainably farmed and sourced food market with Patagonia Provisions after deciding that the agricultural industry could use some improvement as well. Furthermore, Patagonia sponsors and creates documentaries aimed to shed light on pressing issues of environmentalism ranging from the impacts of dams and deforestation to warming winters and overfishing in the wake of climate change.

Sustainable philanthropy has been a major pillar of Patagonia since the beginning. The company was a founding member of the 1% for the Planet Campaign and has donated over $100 million to environmental groups since 1985 (Semuels, 2019). On Black Friday of 2016, Patagonia donated 100% of sales, just over $10 million, to environmental charities. From the start, Patagonia has been questioning the effects of rampant consumerism and unchecked supply chains. Rose Marcario, Patagonia's former CEO, made the company's intentions clear in an interview in 2019 by declaring: "We don't just need to do less harm; we need to do better."

Current Status and Indicators of Financial Success

Patagonia is demonstrating how a business can do well by doing good. Last year, Patagonia distilled their original mission statement to its current form: "Patagonia is in business to save our home planet." The company is using its influence to implement progressive change in the global community. By doing this, Patagonia has captured a following of outdoor enthusiasts and environmentally conscious individuals, an approach that seems to be monetarily effective with sales quadrupling over the past decade and surpassing $1 billion in 2019 (Semuels, 2019). Yvon Chouinard continues to be involved in the company and environmental community, and as of 2020, he was worth $1.2 billion (Forbes, 2020). Patagonia has achieved financial success by being mission-driven company that is guided by foundational values and a pioneering vision.

Industry Analysis

Industry Definition

Patagonia is part of the outdoor apparel industry, which is a sub sector of the outdoor recreation industry. The outdoor recreation industry is one of the largest sectors in the United States, providing jobs for millions of people and sustaining communities across the country (Riddle, 2019). The economic impact of the outdoor industry is represented by any sale generated from an outdoor recreational activity, such as fishing, RVing, biking and hiking (Cologer et al., 2019). In 2017 the industry accounted for $887 billion in consumer spending, comprised of $702.3 billion on trips and travel expenses and $184.5 billion on outdoor recreation products (Riddle, 2019). The value generated by the outdoor recreation industry was 2.2% or $427.2 billion of the current dollar gross domestic product of the US in 2017 (Cologer et al., 2019). In the same year it generated 7.6 million American jobs and $125 billion in federal, state and local tax revenue (Riddle, 2019). More than half of the US, 151.8 million people, participated in at least one outdoor activity in 2018 and the industry has grown in participation by 1.4% since 2016 (Outdoor Foundation, 2019).

The outdoor apparel industry manufactures and sells clothing specifically for outdoor recreation use, such as camping, hiking, cycling, mountaineering and kayaking. This excludes specialty sports equipment as well as general sports stores. The clothing is designed to be both fashionable and functional for casual and recreational use (Sable 2018). Major players in the industry include Recreational Equipment Inc. (REI), VF Corporation and Patagonia (Fernandez, 2020).

Industry History

Clothing that could help an induvial survive in the outdoors has been necessary for all of human history. It was not until the creation of national parks and forests in the United States that people began to think of the outdoors as a place to recreate and to generate revenue from recreation (Ross, 2018).

The Park Service in the United States was created in 1872 with the formation of Yellowstone National Park by an act of congress. It served as “as a public park or pleasuring-ground for the benefit and enjoyment of the people" (National Park, n.d.). Teddy Roosevelt furthered the outdoor conservation and recreation agenda when he founded the Forest Service, which manages much of the public land Americans use for recreation, conservation, and natural resources. He also established the Antiquities Act, which gives the president the power to declare any land under the control of the federal government a National Monument (National Park, n.d.). This conservation effort laid the groundwork for the modern outdoor recreation industry and the outdoor clothing industry that followed.

Many of the Army's 10th Mountain Division, a group of soldiers trained in mountain warfare and based in Camp Hale, Colorado during the 1940s, went on to found ski resorts and work in the outdoor industry. The Colorado Outward Bound School and the National Outdoor Leadership School, both founded in the 1960s, are character building schools that use wilderness as a teaching tool. They each helped to further the positive public perception of recreation in the outdoors (Ross, 2018).

Yosemite's Golden Age, from the 1950s to 1960s, defined by iconic first ascents on the valley's largest features by legendary climbers was highly influential on the outdoor apparel industry. Royal Robbins and Yvon Chouinard, both famous for difficult and visionary first ascents, each went on to found successful outdoor apparel companies, Royal Robbins and Patagonia respectively (Leuven, 2018). This time period also saw the inception of The North Face by Doug Tompkins, another highly influential brand in the outdoor retail industry. The outdoor apparel companies founded in this time period laid the framework for the modern outdoor apparel industry.

Industry Growth and Current Status

The US outdoor apparel industry was valued at $6.7 billon in 2018, an increase from $5.1 billion in 2014 (Schiffer, 2018). The global industry was valued at $12.7 billion in 2018 (Zion Market Research, 2019). Prior to the COVID-19 pandemic, the outdoor apparel industry was projected to grow from $12.7 billion in 2018 to $19.6 billion in 2026 (Zion Market Research, 2019). The current projected growth rate includes 4.52% growth per year and an estimated increase of $3.9 billion from 2020 to 2024, mostly due to an increase in the number private label brands. According to the Technavio *COVID-19: Outdoor Apparel Market (2020-2024)- Roadmap for Recovery* report the market is fragmented, this fragmentation is projected to accelerate during the period of growth (2020). Private label brands will enter the industry and lower the costs of goods, creating competition and positively influencing the market.

Conversely the high cost of raw materials, aging population and limited demand from developing countries may inhibit growth (Outdoor Apparel Market Size, Share 2020: Global Industry Trends, Growth, Segmentation, Future Demands, Latest Innovation, Sales Revenue by Regional Forecast to 2023, 2020).

Overview of key technologies or technological developments

Patagonia is continuously innovating, with 17 patents issued in June 2018 and 26 patents issued in September 2019 (Patagonia Operating Metrics, 2020). Sometimes these innovations are sought solely for higher-quality, more durable fabrics and gear but Patagonia mostly develops with the primary aim of sustainability. The company collaborated with a Swiss textile technology company, HeiQ Brandforce, to explore sustainable options for creating breathable and durable water repellence (DWR). It is important to note that the intended sustainability focus is never achieved in lieu of quality. The vice president of HeiQ Brandforce, Colin Lantz, stated that the two companies were “going to create the highest value possible for both parties, and more importantly, for consumers” (Sustainable Brands, 2017). Patagonia has been able to uphold much of this sustainable quality mix throughout the years. Their usage of the fluorine-free DWR technology, Eco Dry, has proven to be among one of the best non-pfc water repellents on the market (Sustainable Brands, 2017).

Five Forces Analysis

THREAT OF NEW ENTRANTS – MEDIUM – LOW[1]

- Medium to high market share
- 62% market share concentrated in the top four long-standing companies[1]
  - Recreational Equipment Inc. (REI)
  - the North Face (VF Corporation)
  - Patagonia
  - LL Bean
- Patents not required
- Profit margins not appealing

BARRIERS TO ENTRY – MEDIUM

- High startup costs
- Patagonia estimated $2 million to open one store[1]
- Niche industry with a few dominant players that have pushed out small businesses
- Brand awareness and loyalty

BARGAINING POWER OF SUPPLIERS – LOW[1]

- Manufacturing is easily outsourced to anywhere
- Patagonia will change suppliers/factories if their high standards are not met regarding:
  - labor practices
  - working conditions
  - environmental responsibility
- High competition among suppliers to work with Patagonia

BARGAINING POWER OF BUYERS – MEDIUM[1]

- End-users purchase small quantities
- Companies are not dependent on sales from few people
- Low/no switching costs
- Younger generations care more about social/environmental company practices
- Patagonia continues to deliver on their commitment to social/environmental issues
- Patagonia was able to acquire thousands of customers/sales on Black Friday when all proceeds from that day were donated to environmental causes

THREAT OF SUBSTITUTES – MEDIUM-HIGH[1]

- Several comparable alternatives in the US and internationally
- Sustainability is becoming more important to many customers
- May not be substitutes to company's like Patagonia in terms of sustainability
- Brand loyalty is high among typical Patagonia customers

COMPETITIVE RIVALRY – MEDIUM-HIGH[1]

- REI & VF Corporation have a much higher share of the market
- Brand loyalty
- Low buyer switching cost
- Patagonia is number 3 among the top four competitors
- Similar quality among companies
- Patagonia leads in sustainability and transparency both increasing more important among consumers

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[1] IBISWorld Industry Report (2020) by Fernandez C.

Industry Trends and Drivers

Direct to consumer online sales have been shifting the industry as more consumers are moving to purchasing outdoor apparel online (Melhman, 2020). Many well-established brands, as well as those new to the industry, have eliminated third party retailers from their supply chains, allowing increased profit margins and lower costs for the consumer. Purchasing directly from manufacturers also increases transparency and information available to customer (Chen, 2018). Transparency allows more value to be placed on the story that is told rather than the performance of the product. This includes the environmental and social responsibility of the brand as well as brand image (Waters, 2020). Consumers are reacting to more authentic and experience driven, relatable marketing. This has resulted in less emphasis placed on cutting edge athletes with more YouTube and social media influencers taking their place (Bethune 2017).

Millennials account for 50% of the workforce and are a generation that values experiences over wealth. Outdoor apparel provides the wearer with an idea of what experiences could be possible with a piece of clothing (Bethune, 2017). Health-conscious Millennials are becoming more aware of the risks associated with a sedentary lifestyle and are taking part in more outdoor recreation activities. This increase in outdoor activities leads to more purchases of apparel designed for their pursuits (Chen, 2018). The Baby Boomer generation is also becoming more health conscious and experiencing the outdoors through eco-tourism and RV trips as they retire (Bethune 2017).

Athleisure is a trend in the fashion industry of casually wearing athletic and often outdoor apparel because of its comfort and function. This is a trend that many predict will be permanent and broaden the customer base of the outdoor apparel industry (Schiffer, 2018 and Chen, 2018). Another recent trend is less consumption, particularly for fiscally and environmentally conscious millennials. This leads to purchasing higher quality, and often more expensive products, rather than several lower quality options (Schiffer, 2018).

Recent Industry Developments

There has been a recent focus on bridging the urban outdoor gap. Worldwide, 55% of people live in urban areas and that figure is projected to increase to 66% by 2050. Approximately 34% of outdoor consumers currently live in urban areas, creating a large, potential market that is expected to increase (Chen, 2018). Companies can effectively market to these consumers through creative marking strategies and by making products that can function in both the office and outdoors (Waters, 2020).

The faces in the outdoors are changing with the ever-diversifying population of the US and the outdoor apparel industry is changing with it. The industry has typically been dominated by white men, but this is starting to shift as more focus is being put on inclusivity (Chen, 2018). Marketing campaigns are starting to reflect the size, race, gender, sexual orientations, and diversity within outdoor recreation enthusiasts. Increasing these campaigns help make outdoor recreation feel more accessible to everyone (Waters, 2020).

Outdoor apparel brands, such as Patagonia, REI and Outdoor Research, are participating in environmental, social and political activism that is often divisive (Friedman, 2017). Most consumers believe businesses should take a stance on social issues and exist for a greater purpose other than just making money (Waters, 2020). Organizations, such as B Corps, provide certifications to corporations based on rigorous social and environmental performance as well as transparency and legal accountability. This is allowing there to be action as businesses are changing their missions.

Sustainability has emerged as an integral piece of the marketing mix for the outdoor apparel industry. This includes creating innovative ways to reduce consumption of resources, recycle and reuse materials, utilize sustainable packaging, and develop circular economies. Sustainability has become increasingly important to Millennials and will continue to be a driving force for younger generation because of the growing public awareness of climate change (Waters, 2020).

Key Success Factors

IBISWorld identifies 250 key success factors for every type of business and narrows them down for company success in each industry. The main success factors specific to the hiking and outdoor equipment store industry are the ability to alter goods and services produced in favor of market conditions, having a good reputation, having a good technical knowledge of the product, and access to niche markets (Fernandez, 2020). Patagonia excels in all four of these areas, but they capitalize on two factors with their access to niche markets and their outstanding reputation.

Strategic Focus

Patagonia's strategy of rejecting "overt consumerism" alongside the utilization of socially and environmentally conscious practices has indeed been a large part of their success. Their strategy may have helped triple their profits since 2008 but management and authentic leadership have been responsible for controlling their execution (Lutz, 2014). Patagonia has a rich history of leaders who have skillfully held the reins and driven Patagonia's strategic success in alignment with their company mission.

Yvon Chouinard founded Patagonia in 1973 and led the company in his quality and environmental philosophy until 1999 when he stepped down as CEO (Chief Marketer Staff, 1999). Alongside Yvon, Kris Tompkins, the next CEO, held the same anti-corporation values and was personally invested in the fight against pollution, deforestation, and disappearing fish and wildlife. She stayed with Patagonia for 20 years until she decided to devote herself to full-time national park philanthropy in 1993 (Mazzuca, 2018). Tompkins was not the last great female leader to steer the company, however. In 2008, Rose Marcario joined Patagonia as their chief financial officer. Six years later, she ascended to the role of CEO. She stepped down in 2020 but is widely praised as one of the company's best CEOs, boasting an astounding legacy. Her accomplishments include expanding Patagonia Provisions, establishing Tin Shed Ventures, streamlining production, and helping eliminate waste and excess packaging. As CEO, Marcario was regarded worldwide as incredibly innovative in her mission to strengthen Patagonia's business strategy and commitment to the environment (Beer, 2020).

People

In the retail and consumer product sector, the average employee turnover rate is 13% while Patagonia boasts a mere 4% turnover. One of the company's strengths is how well they treat their employees. As part of employee well-being measures, Patagonia has been known to send nannies on business trips, promote women into leadership roles, and provide facility childcare. These practices help to retain employees for long-run commitments and has earned the company a 100% retention rate among those employed in conjunction with being working-moms. Dean Carter, Patagonia's Chief Human Resources Officer, reasons that these efforts help Patagonia workers "be who they are" (Mautz, 2019). Letting employees be themselves provides strength and alignment within Patagonia, fostering an allegiance only forged through leadership authenticity.

Operations

In their augmentation of sustainability practices, Patagonia is saving money through water reduction and energy generation within their operations. At their California facilities, all the heating, ventilation, and air conditioning condensation is captured and reused to water drought-resistant plants that are part of the on-site landscaping. Additionally, facilities have installed low-flow toilets, faucets, and showers. These methods are beneficial reducing water use, a precious resource in California, while also lowering company bills (Patagonia, 2020a).

Patagonia has made great strides in their consumption of electricity. Their current aim is to design, build, and operate buildings in a way that minimizes the need for energy, such as using daylight-design features (Patagonia, 2020a). Last year, they were using 100% renewable energy in the US and 76% renewable energy globally through installations both on and off-site. For their off-site installations, they have installed over 1,000 solar arrays on various residential homes across the country. They are currently trying to replicate this practice for all their global regions to reduce their electricity usage from 2018 figures of 7.8 million kWh (Patagonia, 2020a). This may seem like a large figure, but for a company that ships and operates across the world, the equivalent of 73 tanker trucks' worth of gasoline is quite low (Greenhouse Gases Equivalencies Calculator, 2020).

Marketing

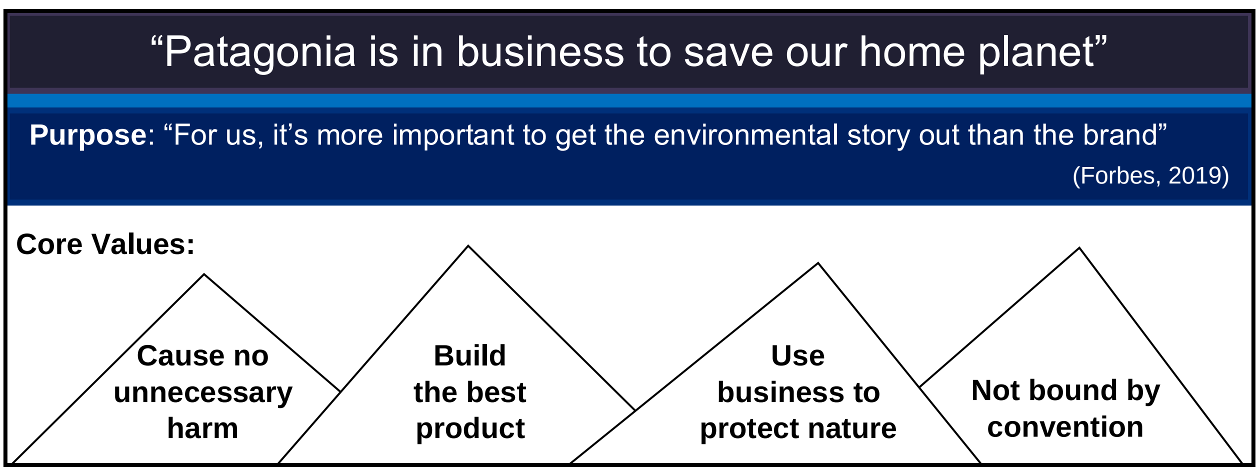
Transparency is a focal point in Patagonia's customer relations as a key success factor in their marketing. The company shares progress, good and bad, through The Cleanest Line blog. The blog contains honest stories about missteps in the organization, such as finding that their Taiwanese workers were being extorted. Adam Fetcher, Patagonia's director of global communication, says that this pays off in the long term while asserting that any company claiming to have sustainability or corporate social responsibility figured out is lying (Tesseras, 2015). He admits that, while trying hard to be responsible, Patagonia is not perfect and has both positive and negative aspects in every action they take (Tesseras, 2015). This honesty and transparency in a world of dishonest corporations provides consumers with more trust in the company and their reward to Patagonia results in fierce brand loyalty.

Finances

While it is estimated that Patagonia surpassed $1 billion in revenue in 2019, it is a private company, thus their exact finances and assets are not available. As they increase their global facilities, Patagonia will be expanding assets. They now own and operate offices in the United States, Korea, the Netherlands, Argentina, Japan, southern Chile, and Australia. Patagonia has a chain of retail stores that sell exclusively Patagonia products. There are over 70 retail stores worldwide, 37 of which are in the US, generally in major cities and affluent areas. They provide additional ways for customers to interact with the brand and products, as well as provide jobs to communities outside of their headquarters and distribution centers. These stores account for 7.4% of total brick and mortar outdoor equipment sales (Martin, 2012; Fernandez, 2020). Patagonia currently operates two distribution centers for receiving both domestic and international goods. Opening their second distribution center in Pennsylvania has allowed them to reach 95% of the US via shipping methods other than air (Patagonia, 2020).

Strategic Analysis

Patagonia and environmental advocacy are inseparable. Their philosophy has long been to “build the best product, cause no unnecessary harm, use business to inspire and implement solutions to the environmental crisis.” The evolution of this statement to “Patagonia is in business to save our home planet,” conveys the company’s increased organizational investment in the cause. In an interview with Fast Company, Chouinard explained that while the shift may sound trivial, it is fundamental for expressing the urgency that this is not just about climate change, this is a climate crisis (Beer, 2018). Patagonia has incorporated a triple top line approach, incorporating economy, ecology, and social equity into its sustainable business model. This creates products that enhance the well-being of nature and culture while generating economic value (McDonough & Braungart, 2016). The triple top line is captured in Patagonia’s mission, purpose, and core values. Patagonia implements this idea throughout their supply chain, building gear from reusable and recyclable materials, and focusing on water use and quality, greenhouse gas emissions, chemical use, toxicity and waste (Morin, 2020).



Patagonia is a designer and marketer of outdoor clothing. Their primary target market is “outdoor people”; individuals who engage in outdoor activities and have an appreciation for nature and the environment. The demographics of Patagonia users in the target market have a disposable income, maintain an active lifestyle, enjoy nature and being outdoors, value quality products, advocate sustainability and the environment, and are conscious in buying decisions (Sublett, 2015). Patagonia’s garments are made to be durable and last, advocating against the “wear and dispose” mentality that is often found in consumerism.

Analysis of major competitors

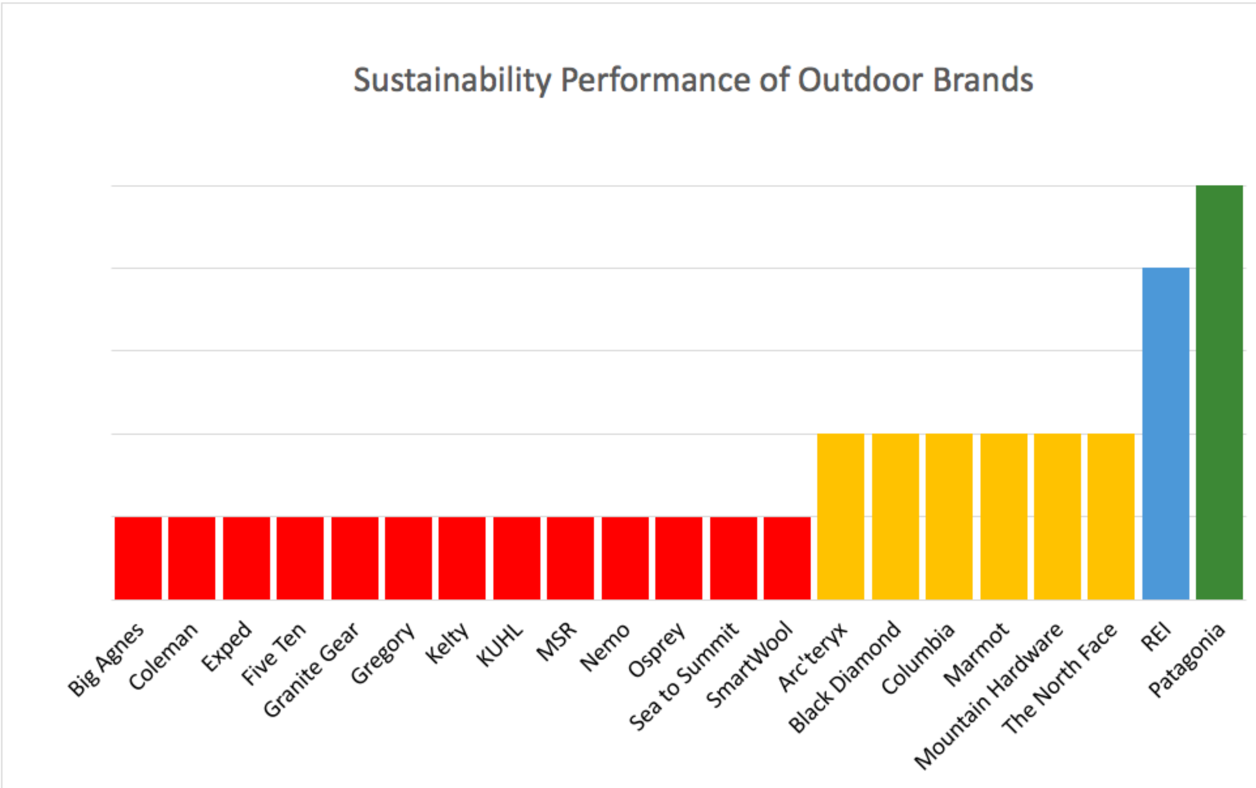
When comparing Patagonia to competitors, the most common difference can be seen by visiting each of the brands' websites. The homepage of the Patagonia website currently has an enormous banner that flashes "Elect Climate Leaders Now" with a link to make a plan to vote. As you scroll down on the Patagonia homepage, you find an acknowledgement letter that states, "we're learning how to become an antiracist company" and near the bottom of the page, there is an ad for Patagonia's newest film, *Public Trust*. This link takes you to a film about the fight for America's public lands. The information on Patagonia's homepage is always changing, but it is never used to promote their clothing, it is always used for environmental, social, or political empowerment. Small icons exist on the homepage that will take you to the apparel pages, but there are no advertisements on Patagonia's homepage telling you to buy their clothes.

In contrast, competitor brands strictly promote consumer practices, highlighting their newest collection and encouraging people to buy products based on function rather than living a certain lifestyle (Mclaughlin, 2018). While competitor brands all have sustainability initiatives and web pages with information about their climate and ESG goals, none take the upfront approach that Patagonia does by putting their corporate social and political responsibility goals front and center.

In a rare industry move, Patagonia organized meetings with industry competitors to educate and encourage other brands and manufacturers to form a relationship with bluesign®technologies, an independent third party that screens the dyeing and finishing of textiles (Outdoor Gear Brands Unite to Promote Environmentally Friendly Textiles, 2020). Given that dyeing and finishing is typically where the biggest environmental problems occur in the textile production, bluesign®technologies will provide chemical inventory list verification and chemical management in the supply chain, on-site company assessment including a road map to improve sustainability performance, and access to an extensive materials database and responsible manufacturers as sourcing support.

Patagonia has realized that they cannot make a big enough impact alone and that inviting competitors to learn about the bluesign standard could create a much larger cumulative effect in the reduction of toxics, water use, and energy. Arc'teryx, The North Face, LL Bean, and REI are now all partnered with bluesign as well.

The figure below is a compilation of an assessment done by theprch.com in 2017 on the sustainability performance of outdoor gear brands. The assessment evaluates environmental and social impacts of each business. The information used to assess the brand is based on a variety of sources such as CSR reports, public information provided by the company, and other rating guides such as CSRHub, Ethical-Consumer and others. Each company is ranked using a basic letter grade- A is best, F is worst- and is relative to others in the same industry. An A score (green) denotes a company that is outperforming all other outdoor brands and an F score (red) characterizes brands that are the worst performers in the outdoor industry (Sustainability Ratings of Outdoor Gear, 2017). While many of these brands have made vast improvements on their corporate social responsibility and sustainability goals since 2017, this chart illustrates how far ahead Patagonia is than the rest of the outdoor gear brands.



Source: Sustainability Ratings of Outdoor Gear, 2017

Arc’teryx

Arc’teryx is a Canadian-based, outdoor apparel company specializing in technical, high-performance outerwear. They are owned by Amer Sports, who publishes a CSR report but has little specific information on Arc’teryx. In 2019, Arc’teryx successfully measured its baseline carbon footprint using 2018 data. This baseline was used to establish and commit to emissions reductions and renewable energy goals. Efforts include reducing Scope 1, 2, and 3 greenhouse gas (GHG) emissions 65% by 2030, focusing on using lower impact materials with a long lifespan, committing to 100% renewable energy by 2020 with increased energy efficiency, and growing its participation in the circular economy. Arc’teryx has launched *Rock Solid Used Gear* to help meet its circular economy goals. Although there have been improvements in transparency and sustainability initiatives since the 2017 assessment, Arc’teryx lags behind many of the other companies leading brands when it comes to corporate social responsibility.

The North Face

Patagonia and The North Face target likeminded customers though pronounced differences exist in how each company positions itself. While The North Face has a mission statement that has similar sentiments to Patagonia's view, "Provide the best gear for our athletes and the modern-day explorer, support the preservation of the outdoors, and inspire a global movement of exploration," when one looks at the actions each company has taken, differences are apparent. The North Face makes claims that they are invested in bettering the environment, but that only appears through words while they continue to promote consumption (Mclaughlin, 2018). The North Face responsibility webpage states that "while reducing our direct energy footprint is our first priority, we have purchased offsets since 2007 for greenhouse gas emissions we haven't yet eliminated." It is unclear what tangible goals The North Face has set for emissions reductions and CSR targets. According to theprch.com, The North Face did publish their emissions data and set goals for improvements in 2013 but did not meet these goals. The North Face is now owned by VF Corporation, who has set emissions reductions goals using science-based targets and a baseline year of 2017.

Marmot

Marmot has been working on a transportation-reduction initiative since 2011 to address emissions produced by moving raw materials and finished goods. Marmot has successfully reduced its air shipments by 60%. Marmot was acquired by Newell Brands in 2016 and a baseline was calculated for reference in setting future sustainability goals. Current goals are set for 2025 and include a 25% reduction in energy usage, a 30% reduction in greenhouse gas emissions, ensuring that 90% of transporters are certified by the Environmental Protection Agency's SmartWay® Transport Partnership, and a 90% reduction of waste generation by recycling or reuse. Small hangtags with an Environmental Report Card are used on Marmot's most sustainable products to highlight and inform consumers about the sustainability initiatives.

REI

REI currently has the largest portion of the market share at 38% in the Hiking and Outdoor Equipment industry. REI advocates strongly for the protection of shared outdoor recreational areas and, like Patagonia, REI has boycotted Black Friday in recent years and promoted its #OptOutside campaign. This campaign has expanded to encourage consumers not only to boycott Black Friday but to join a nationwide clean-up effort by committing to a 52-week Opt to Act Plan, which gives people small steps to reduce their environmental impact. REI created a secondhand shop called good & used where consumers can purchase used gear. REI publishes a very thorough CSR report where they detail how they are tackling product sustainability, the climate and environment, making gear that lasts, waste reduction, fair labor, and public lands stewardship. It is apparent that REI is a leader in tackling these issues. This was reinforced when

REI unveiled a new set of sustainability standards in 2018 and told all its vendors they had to comply with everything on the list by fall 2020—or lose the opportunity to sell through REI (Bastone, 2020). In addition, REI can boast to having the first distribution facility in the United States that has been certified as LEED Platinum and Net Zero Energy.

L.L. Bean

L.L. Bean was founded in 1912 and is headquartered in Freeport, Maine. It is a privately held, family-owned company with little transparency. Currently, L.L. Bean recycles over 84% of its waste, uses biodiesel in its heavy-duty truck fleet, and uses sustainably sourced catalog paper that is PEFC-certified and made from 10%-20% recycled content. L.L. Bean currently has 20 facilities that meet the US Green Building Council's LEED certification standards and an electric car charging station at the flagship store – the largest in Maine with 16 chargers. L.L. Bean has set goals for reducing greenhouse gas emissions 50% by 2025, but no baseline year is presented. In addition, they are working towards choosing more responsible materials when making their products, moving towards 100% responsible cotton products, recycled polyester, responsible down standard, and 70% use of recycled nylon

Analysis of consumers

Patagonia has a global customer base that is an often-overlapping mix of outdoor sports enthusiasts, environmentally conscious buyers, and a large pool of luxury consumers. With a long-standing tradition of participating in environmental and trade initiatives, Patagonia creates products that attract consumers who combine a socially conscious ego-expression with a trending brand and quality materials. Patagonia has excelled in capturing this value, sustaining double-digit sales and profit growth since 2008 (Patagonia: Corporate Social Responsibility as a Behavior-Binding Asset Driving Demand, 2015).

Patagonia is a holistic brand who values authenticity, quality and superior performance. This creates loyalty among consumers who value authentic brands. While Patagonia is a leader in sustainable practices, they focus on more than pure green customers and marketing green status and image. The subtle undertones of Patagonia advertising tell customers that Patagonia has high-quality products that are durable and reusable. Millennials, who control the future of the market are not interested in purchasing from a company that harms the planet. They are looking for brands that have noteworthy environmental and social practices.

Impact Analysis

The Evolution of Patagonia's Environmental and Social Responsibility

During its early years, Patagonia attempted to work with factories that shared their value of quality and integrity. They sought business partners with clean, well-run factories that had low worker turnover (Gunther, 2018). Throughout the late-1980s, Patagonia saw significant growth, between 30-50% per year, and the company borrowed heavily to maintain expansion and demand. When a recession occurred in 1990, Patagonia's primary lender ceased investing. This forced Chouinard to make the difficult decision of closing offices and showrooms as well as laying off 20% of the workforce in order to save his business. He would later say: "It was the worst thing I've ever had to go through. A lot of these people were my friends, and it was absolutely my fault" (Gunther, 2018).

This experience caused Chouinard to pose the question: "Why are we in business?" The answer he and his team found resulted in the formation of their first mission statement to: "Build the best product, cause no unnecessary harm, use business to inspire and implement solutions to the environmental crisis" (Gunther, 2018). This laid the groundwork for Patagonia's future social, environmental and politically conscious goals, as well as customer value proposition. Chouinard decided that he wanted to run the company and make decisions like it will be in business for 100 years (Raz, 2017).

In 1985, Patagonia instituted a self-imposed tax by pledging 1% of sales to the preservation and restoration of natural environments (Patagonia.com). Chouinard and Craig Matthews, the founder of Blue Ribbon Flies, created 1% for the Planet to help fund environmental organizations in 2002. 1% for the Planet is a non-profit organization that requires member companies and corporations to donate 1% of gross sales or equivalent to other non-profit environmental organizations; $225 million has been raised (Patagonia.com).

In 2007, Patagonia implemented The Footprint Chronicles, which traces the social and environmental impact of all their products to educate customers and encourage competitors to do the same (Gunther, 2018). This program highlights both positive and negative social and environmental externalities of products.

In 2011, Patagonia created a Black Friday ad in the New York Times that read: "Don't Buy This Jacket." It included the environmental cost of R2 fleece asking customer to think twice before making their next purchase. This is an extension of Chouinard's mission to reduce consumption and ironically ended up increasing sales for that year (MacKinnon, 2017).

Chouinard started Patagonia Provisions in 2012 as a marketplace for good, nutritious, responsibly sourced food. He dubbed a new triple bottom line: food, water, love (Chouinard, 2020). Chouinard recognized the agriculture industry as a major contributor to greenhouse gas emissions and environmental degradation. He believes Patagonia can have the greatest future impact in the agriculture and food sector and cites the importance of regenerative agriculture, a practice that creates healthy soil, ensures animal welfare, and protects farmers, as vital to saving our home planet (Raz, 2017; Chouinard, 2020).

In 2013 Patagonia launched a venture capital fund called $20 Million and Change. It is designed to support companies in the early stages of development that use business to solve social and environmental problems. Today this program is called Tin Shed Ventures, honoring the tin shed where Chouinard started his first business (Tin Shed Ventures). Notable investments include providing Kina'ole Capital Partners with $13 million for solar energy in Hawaii as well as funding Bureo, a company that makes skateboards out of recycled fishing nets (Gunther, 2018).

Rose Marcarcio, who was Patagonia's CEO from 2014-2020, was instrumental in shaping supply chains by streamlining production and reducing costs, eliminating environmental and financial waste is the primary goal in their sustainability efforts (Bosco, 2017; Bradley, 2015). In 2015 Patagonia stopped working with Ovis 21, a wool supplier, due to video evidence of animal mistreatment on their farms. They reduced the number of wool products available in their line and were transparent about their internal decision-making process (Bosco, 2017).

Patagonia has always made cloths that are durable and long lasting, and they take responsibility for the product's entire existence. The company encourages fixing garments, by repairing over 50,000 garments per year, to increase longevity and avoid purchasing new clothing while ensuring their products can be recycled when they are no longer repairable. In 2017 Patagonia went further when it launched Worn Wear, an online marketplace where the retailer sells used clothing. The clothing sold by this marketplace is returned by customers for a credit towards new or used products (MacKinnon, 2017). This circular purchasing model is viable because Patagonia produces clothing that is designed with quality and durability in mind. This initiative reduces the consumption of resources by recycling and repurposing existing clothing. Buying a used garment extends its life on average by 2.2 years, which reduces its carbon, waste and water footprint by 73% (ThredUp, 2018). The money generated from Worn Wear benefits Patagonia's Child Development Centers (Patagonia, 2020a).

In 2018 Patagonia created Action Works, a digital tool that facilitates human connection to act on the most pressing issues facing the world today (Patagonia.com). The tool connects individuals with grassroots environmental organizations based on location and issue to grow the reach and influence of these organization while building community around activism (Anders, 2018).

Patagonia boasts that 100% of virgin down needs are sourced through Advanced Global Traceable Down, 68% of the line uses recycled materials, and 83% of the line is Fair Trade Certified. There are 550 farmers that are part of the Regenerative Organic Certification (ROC) Pilot Cotton program that Patagonia is using and 100% of cotton is grown organically. They have also collected 35 tons of plastic fishing net from the oceans and turned it into hat brims (Patagonia, 2020a).

Environmental and Social Consciousness in the Supply Chain

Patagonia has acknowledged the impact of their supply chain from the early stages of the company. They are leading the way by creating products under safe, fair and humane working conditions. In doing so, they have become a global leader in supply chain responsibility (Morin, 2020).

Patagonia conducted its first impact assessment report in 1994 and focused on the lifecycle analysis of the most used fibers in its products: cotton, wool, polyester and nylon. The report found that cotton had the largest negative environmental externalities. In a bold move the company began using solely organic cotton despite higher costs and difficult sourcing by 1996. Patagonia would go on to apply this principal to other products in their supply chain, turning recycled plastic bottles into fleece sweaters and sustainably sourcing down for jackets (Gunther, 2018).

Developed countries focus on higher value activities in their value chain such as research and development, design, marketing, retail services, and post-sales interactions. Typically, Patagonia generates design ideas that are then outsourced to a manufacturer in a foreign country. This limits the manufacturer's power, as they do not have access to the consumer market and are unable to undercut the designer. Chouinard feels that this power imbalance cannot easily be rectified even by a socially conscious company. He states that it would be possible to manufacture all of Patagonia's products domestically, but that he "would be out of business so fast that (he) would become a martyr" (Little, 2004). Unfortunately, the common outsourcing of apparel industry products means that all outdoor apparel companies must follow suit if they want to remain competitive with prices.

In 2014 an internal audit of Patagonia's supply chain revealed illegal practices in Taiwan that entrapped workers in textile mills by using labor brokers who charged new workers up to $7,000 for a job. Patagonia made a great effort to correct this injustice, hiring Verité to conduct a third-party audit and making the final report publicly available. They repaid the workers for the money they used to purchase their jobs and made strides to ensure this would not happen again (Gunther, 2018).

Although Patagonia has ample options for suppliers, their focus on sustainability could impact supplier power, if allowed by management. Currently, their full supply chain accounts for 97% of total carbon emissions, which they intend to reduce in the future (Patagonia.com). By outsourcing their manufacturing, any reduction in these emissions would have to be achieved by choosing suppliers who have geographic proximity to the United States (Little, 2004). Choosing a supplier who is located close to their US retail operations would reduce emissions from shipping, but that supplier would be in a position where they could demand higher prices. This would likely put Patagonia in a position of having to use a more distant supplier to the detriment of the company's emission levels.

Political Responsibility

In 1989 Chouinard explained that Patagonia donates to organizations that sue the government when the government does not obey its own laws. Environmentalism is a political issue and therefore Patagonia has always had a political conscience (McSpirit,1998). In 2004, Patagonia launched their "Vote the Environment" advertising campaign that urged voters to use their voice to elect environmentally conscious politicians. This campaign has continued to evolve and expand, often focusing on forgotten midterm elections (Witt, 2018).

In 2018 Patagonia helped found Time to Vote, a nonpartisan organization that helps ensure workers have schedules that allow them to cast ballots on election day (Mahoney, 2020). In addition, Patagonia endorsed two midterm candidates, Representative Jacky Rose in Nevada and Senator Jon Tester in Montana because of their stances on environmental policy. Both candidates won their seats during the 2018 midterm race (Blakely, 2020).

Patagonia has become more overtly political within the last four years due to infringements on public land and reductions in environmental regulations. In 2017, Patagonia was part of a coalition of organizations that sued President Donald Trump due to his reduction of Bears Ears National Monument and Grand Staircase-Escalante National Monument, both located in Utah (Tanner, 2017). To protest this same executive action, Patagonia and other prominent outdoor brands boycotted the Outdoor Retailer trade show that took place in Salt Lake City, Utah. Due to this direct action, the tradeshow relocated to Denver, Colorado (Blakely, 2020). During this time the company also ran an ad on their homepage declaring: “The President Stole Your Land.” This message went viral and could be seen on social media outlets, magazines, and news sources across the nation (Semuels, 2019).

As a result of the Trump administration’s corporate tax cuts, Patagonia received an extra $10 million of unexpected profit in 2018. CEO Rose Marcario devised a plan to donate these additional profits to grassroots environmental organizations, in addition to the 1% for the Planet funds (Blakely, 2020). During the months leading up to the 2020 election Patagonia took an explicit political stance by creating clothing tags that read “Vote the Assholes Out.” This campaign was in direct response to the Trump administration’s handling of environmental, social and public health crises. Yvon Chouinard’s nephew, Vincent Stanley, illustrated the company’s stance in an interview stating, “I think we used to be a company that supported activists, and now we are more of an activist company” (Semuels, 2019).

B Corp and Benefit Corporation Status

Patagonia gained a B Corp certification in 2011 through the non-profit B Lab; a third-party organization that has been certifying businesses across the globe since 2006. To date, there are over 3,500 Certified B Corps in more than 70 countries (B Corp, 2020). The organization believes that in order to confront the most pressing issues facing the world today, the success of a business must be redefined. Thus, the certification attempts to measure the success of a business beyond the products or services it offers. The certification evaluates a company’s entire social and environmental performance, with indicators ranging from internal operations and its business model to supply chain and charitable giving (B Corp, 2020). It goes further to explain that the complex problems of our times cannot be solved by government agencies or nonprofits alone. Patagonia’s intention to “save our home planet” through the influence of business clearly showcases its vested interest in this movement, an idea aptly stated by Rose Marcario, former CEO of Patagonia:

> “The B Corp movement is one of the most important of our lifetime, built on the simple fact that business impacts and serves more than just shareholders - it has an equal responsibility to the community and to the planet” (B Corp, 2020).

A certified B Corp demonstrates that a business is meeting the highest standards of performance in the scope of its employees, community, environment, and customers (B Corp, 2020). As part of this certification, a prospective company must complete a B Impact Report, which measures the social and environmental impact of the company- Patagonia's current score is 151.4/200 (B Corp, 2020) while the average score is 80. It is obvious why Patagonia chose to pursue the certification and has held it ever since: a clear alignment of values and direction.

Patagonia was also the first company in California to become a Benefit Corporation in January 2012. This provided them with a legal framework to advance environmental and social values that Chouinard founded the company on. As the company's Annual Benefit Corporation Report stated, "Patagonia became a registered benefit corporation…on the first day we were legally able to in the state of California" (Patagonia, 2020b). Since that day, Patagonia has demonstrated continued dedication to improving its transparency, accountability, and overall impact of its operations.

Sustainability Goals

- ◊ Carbon neutral by 2025
- ◊ All apparel products made from 100% recycled, reclaimed, or renewable resources by 2025
- ◊ 100% reusable, home compostable, renewable, or easily recyclable packaging by 2025
- ◊ 100% of cotton and hemp fibers used in products will be Regenerative Organic Certified (ROC) by 2030 (Patagonia, 2020a)

Systematic Change

Patagonia is redesigning the way in which a firm interacts within the world of business. It has moved away from Milton Friedman's antiquated belief that a company should focus only on profit and has adopted the Shareholder Theory to benefit its employees, customers, and the planet. In doing so, Patagonia is creating shared value for all stakeholders at the intersection of its business opportunities, assets, and the needs of society (Porter, 2011).

Patagonia uses its values as a compass to guide in the decision-making process. In doing so, the company is putting an end to the myth that profits can only be achieved at the expense of purpose (Marquis, 2020). This vision was with Chouinard long before "sustainable business" was a buzzword. Patagonia's authenticity is one of the key factors that has led to its enduring success and evolution. Chouinard's leadership and ability to play the long game have also allowed the company to stay relevant in the dynamic outdoor apparel industry. As stated by Chouinard:

> "The solution to depression is action, and I've got a clear idea what I need to do. A lot of people want to do something about global warming, but they don't know where to start. It's a lack of introspection and imagination" (Beer, 2019).

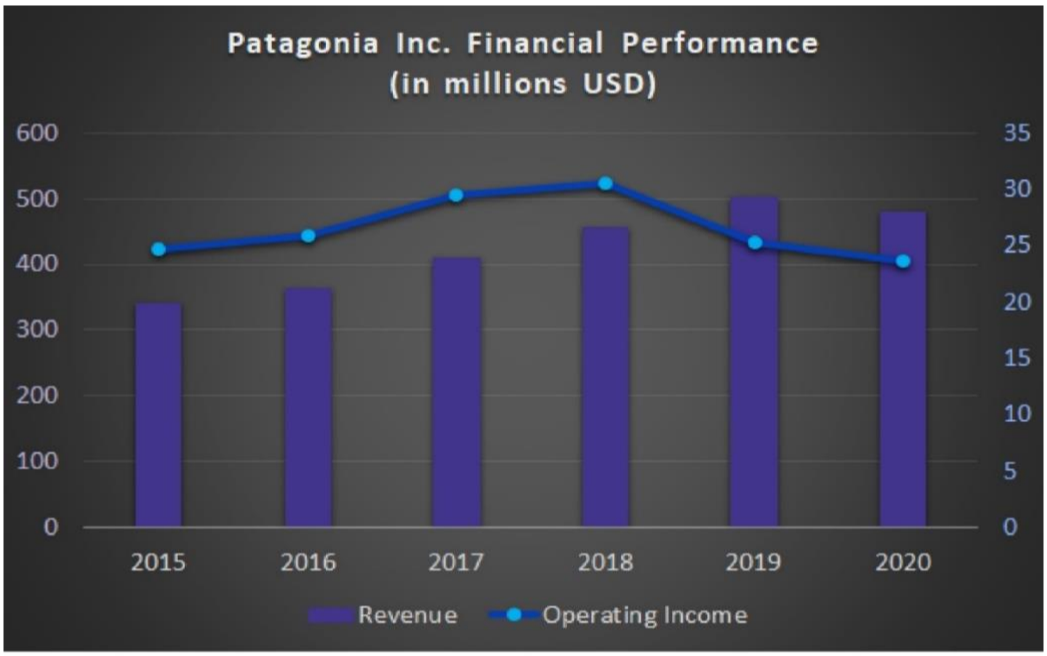
In 1996, Patagonia became a founding member of the Fair Labor Association (FLA), an independent verification and training organization that audits factories (Patagonia.com, History: Social Responsibility). Patagonia Inc. continued to innovate and set its sights on new goals, like 1% For the Planet and focusing on more regenerative agriculture and natural growing methods for the materials used in its clothing.

In 2009 Patagonia partnered with Wal-Mart to establish the Sustainable Apparel Coalition (SAC). This organization provides social and environmental transparency and accountability to the apparel industry. The SAC has over 250 members today including Nike, Target and J.C. Penny (Gunther, 2018). The SAC also developed the Higg Index, to assess environmental and social sustainability in the supply chain and impowers members to improve sustainability efforts (The Higg Index).

These programs have not gone unnoticed in the world of business. Climate-conscious consumers throughout the globe are calling for a greener tomorrow, and businesses are listening. This change can be seen across industries and is forecasted to become increasingly evident. Amidst this revolution, Patagonia has made it clear that they are prepared to continue innovating and inspiring global solutions. In doing so, the company is also urging other businesses and individuals to do what they can to confront environmental, social, and governmental challenges of today.

Financial Analysis and Success Indicators

Patagonia, Inc. is a privately held company with little publicly available financial information. Accessible figures show promising trends in growth and sales for the company during the past few years. IBIS World estimated Patagonia's operating income and revenue to be $24.7 and $341.7 million in 2015, respectively (Fernandez, 2020). Their revenue in the US industry-specific segment increased at an annualized rate of 7%, with their latest reported figure of $479.43 million in 2020. Their operating income declined to $23.6 million in 2020, but the decline may be due to incomplete year figures and the impact of the coronavirus (Fernandez, 2020).

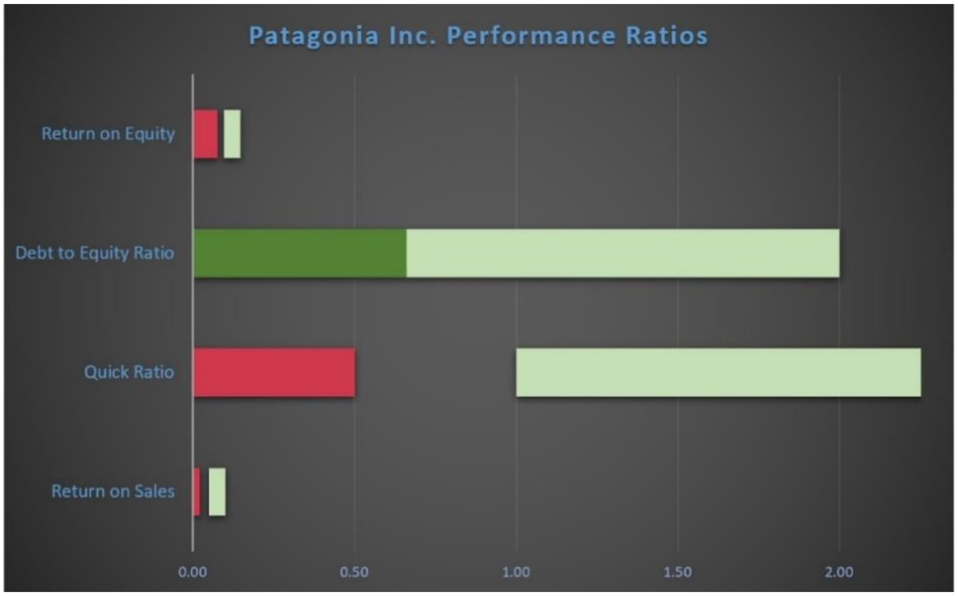


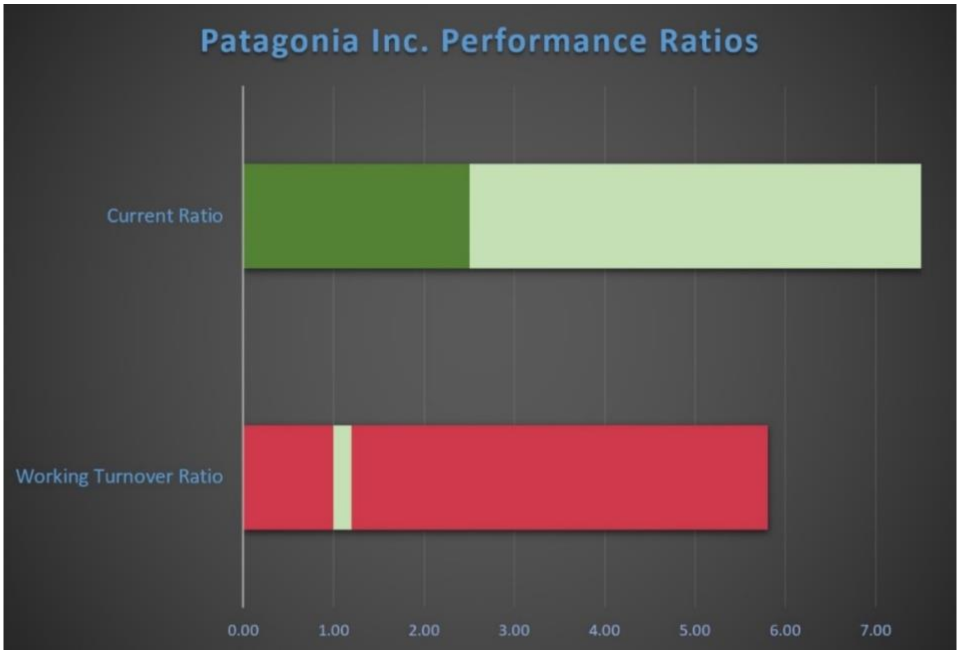
Source: IBISWorld Industry Report (2020) by Fernandez.

Available financial information on the company audit, at Weebly.com (Sublett, 2015), provided a few financial ratios with insights into Patagonia's finances. Return on sales, quick ratio and return on equity all fall short of ideal ranges, while their current ratio, working capital turnover, and debt to equity exceed the ideal range standards. Though certain ratios fall short of positive metrics, there are often explanations that absolve the company of mismanagement suspicions.

The quick ratio, which measures the amount of liquid assets compared to current liabilities, is 0.5 for Patagonia (Sublett, 2015). This indicates that Patagonia has more current liabilities than liquid assets and falls short of the generally accepted target of 1.0 for a quick ratio. Return on sales, quick ratio, and return on equity further demonstrate subpar values stemming from current operations within the company. However, Patagonia may run "lean" with low liquid assets as they invest in their company for future growth.

Further supporting this argument is Patagonia's impressive working capital turnover ratio. This ratio provides information on how efficiently a company is managing their operations and generating sales from their working capital. Patagonia has a working capital turnover ratio of 5.8, which is far above the standard 1.0 to 1.2 range. This highlights how efficient they are with money that is not invested elsewhere (Sublett, 2015). It is important to mention that a working capital turnover ratio as high as 5.8 indicates that money may be sitting idly instead of being invested into further company growth.





Source: *Patagonia, Inc. Brand Audit: Product & Brand Management.* (2015) by Sublett.

Starting Employee Pay

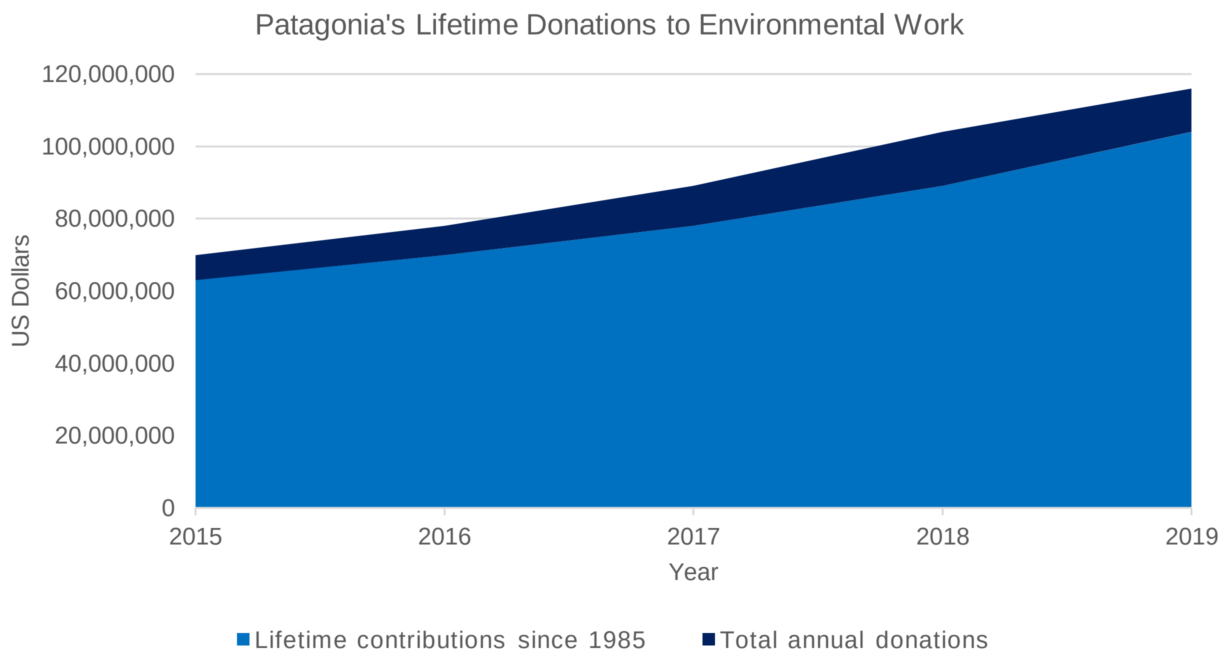
The average retail sales associate wage in the United States is $11.37 per hour, with an annual commission of approximately $6,000 (Indeed, 2020a). With an average reported pay of $10.31 per hour, Patagonia is not too distant from the national average in their pay for the same position (Indeed, 2020b). However, the company is reported to hire their sales associate employees at a minimum wage starting pay. For a company that touts their love for their employees, not giving these same employees a livable wage detracts from Patagonia's authenticity. The detrimental financial aspect of employee pay is often the only negative portion in reviews for the company, as demonstrated by one former sales associate in Santa Cruz, CA:

> "I worked retail for Patagonia twice. The company is the best I have worked for, they *live* their values. The culture is great, best employees and managers! The pay isn't great for retail, but other benefits make it worth it" (Indeed, 2020b).

While the lived values and other perks may make Patagonia a suitable employer for lower-level employees, this is one realm in which the company allows itself to not differentiate from its competitors. Unfortunately, they are averaged to be lower in their sales associate pay compared to one of their biggest competitors, The North Face. At an hourly wage of $11.22, The North Face may be providing a small financial incentive to have starting workers join their cause over Patagonia's (Indeed, 2020c).

Benefit Corporation Financials

In addition to generating profit as a Benefit Corporation, Patagonia must also demonstrate their commitment and consideration of how they impact society and the environment. While, they have held this status since 2012, they committed to giving back well before this date. In 1985 their annual profit was $927,840 and 10% of that was donated to support environmental initiatives (Patagonia, 2016). Much of the financial information, provided by their annual benefit corporation reporting, reflects their monetary giving which can also reflect how well the company is doing financially. Patagonia's self-imposed tax of 1% for the Planet began in 1985 and they have been adding to their portfolio of giving ever since. They award hundreds of grants annually, totaling 994 in 2019 with a value of $6.4 million, to groups working on a myriad of environmental-focused initiatives. Since 1985 they have donated a cumulative total of $116 million to such groups, as shown in the graph below.



Source: Data compiled from Patagonia's Annual Benefit Corporation Reports (2015-2020)

The table below represents the last three years of awarded grant money. A total of more than $14 million was donated to groups fighting for our planet (Patagonia, 2017-2020).

Grant Money Awarded by Cause (USD)

Renewable energy		400,000
Regenerative organic agriculture		1,000,000
Land & water		5,000,000
	2019 total	**6,400,000**
Protect & preserve public lands		2,600,000
Climate change & sustainable energy		2,800,000
	2018 total	**5,400,000**
Defend environmental protections		445,000
protect & preserve public lands		2,500,000
	2017 total	**2,945,000**
	Total	14,745,000

Source: Data compiled from Patagonia's Annual Benefit Corporation Reports (2017-2020)

Patagonia's success and wealth go far beyond their bottom line. They have sustained their giving for decades and have continued to expand how they give back. Patagonia is truly living their mission "… to save our home planet."

Analysis, Recommendations, and Conclusion

Patagonia has redefined the role that a business can play in society. Guided by Chouinard's values and steeped in stewardship and activism, the company has evolved authentically and effectively. Patagonia is leading the way in environmental initiatives and systematic change. Their strategic approach to promote quality and responsible business practices gives them a sustainable competitive advantage in the dynamic and growing outdoor apparel industry. After researching Patagonia's origins and operations, we propose the following recommendations to allow the company to continue improving its unique culture and competitive approach.

Our team recommends that Patagonia pay all employees a living wage so they can support themselves and their families. This would demonstrate investment in all employees and all communities that Patagonia is a part of. An example of the short comings in Patagonia's retail wages was lived by one of our project team members, Dylan Johnston. Dylan worked the Patagonia retail store in Westport, Connecticut as a seasonal retail employee during the winter of 2014/2015. He was paid around $12 per hour while the living wage at the time was $19/hour (Stuart, 2014).

Our team also recommends that Patagonia use radio-frequency identification tags on their products to provide a comprehensive and transparent audit of their supply chain. These tags can be the size of a grain of sand and be added to almost any product. The tags can store data directly or be used as an identifier so that the consumer can learn about the origins of the product (Claremont Colleges, & Bosco, 2017).

Patagonia could also increase their financial transparency by releasing financial documents in a similar fashion to a publicly traded company. This would provide increased accountability for the way that Patagonia is both making and spending money. We recommend that Patagonia take the initiative to publish official CSR and CPR reports to further increase transparency. This would make it easier to track the progress of social, political and environmental initiatives, as well as provide a model for other private businesses on their path towards sustainability and transparency.

After analyzing and researching Patagonia, our team expects the company to continue to be successful. We also anticipate ambitious moves and adaptations in their future. It is imperative for a company to grow within the industry and society with which it interacts. The business must also be willing to change the rules of the game and lead the way into uncharted territories. Patagonia has been an innovator that has focused on the quality of its products and impact for almost fifty years. As a result of its ambitious goals and a genuine purpose to "save our home planet," Patagonia is changing the ways a business can create a better future.

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